

BPM COE

Increasing your velocity to manage change

A few definitions up front...

BPM – Business Process Management

COE – Center of Excellence

Cultural Change – Goodness

Service Excellence – More Goodness

Customer Satisfaction – Even More Goodness

Business Agility & Adaptability – “can’ t say it !”

BPM Center of Excellence

WHAT DOES IT LOOK LIKE ?

First, lets discuss what BPM is...

❑ A philosophy

- About collaboration amongst resources (human, machine):
 - The way they *integrate* using processes and services
 - The way they *align* to execute corporate strategy
 - The way the *perform* to meet expectations (SLAs)
- About driving innovation using a process-centric view

❑ About leveraging technology

- By guiding investments to optimize service delivery
- By aligning business processes with service automation
- By driving technology iteration using requirements engineering

❑ A way of running the business

- To drive continuous improvement
- To align processes and services with customer outcomes
- To eliminate political, organizational and communication barriers

Next, the purpose of a BPM COE is to...

Position business processes at the center for managing business change.

Encompass the discovery, design and management of business process change, as well as the controls to ensure that they align with business strategy and remain compliant.

BPM is the “glue” that binds strategy to execution.

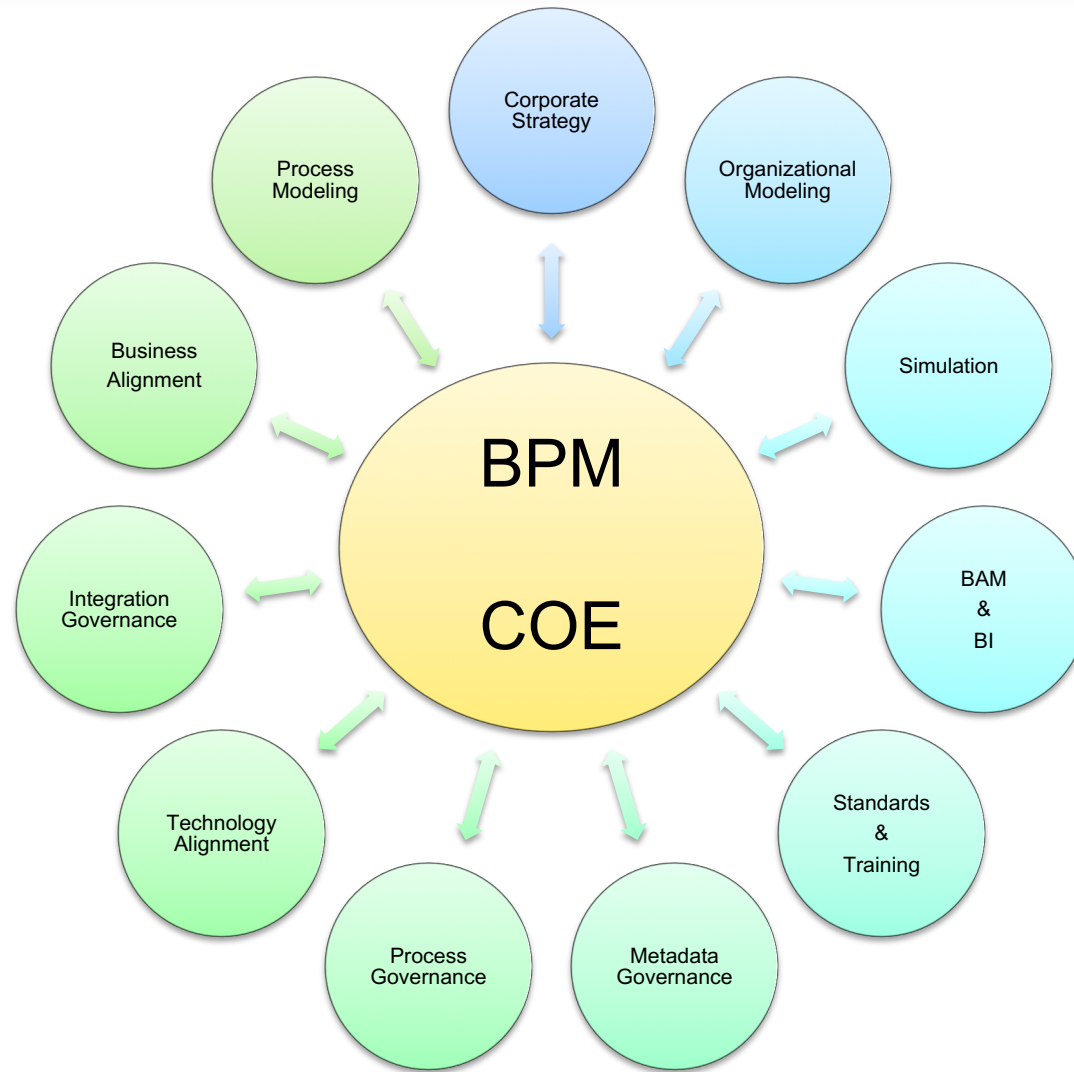
A BPM COE is all about managing change

- ☐ Using Formalized Requirements Management
 - ☐ Using Federated Governance
 - ☐ Using Risk Management
 - ☐ Using Best Practices
 - ☐ Using Collaborative Communications
-
- ☐ Establishing Standards & Guidelines
 - ☐ Modeling (the business, the processes & the data)
 - ☐ Alignment of Corporate Strategy w/ Tactical (projects)
 - ☐ Coordinating Change through a single PMO
 - ☐ Aligning Short Term Needs with Strategic Plans
 - ☐ Encouraging Innovation
 - ☐ Providing Education & Training

How does this fit into Business Architecture ?

- ❑ **Think of a BPM COE as the “hub” of the business architecture:**
 - Oversees Change Management for the business
 - Provides consistent Requirements Engineering
 - Business Models, Process Models, Feature Models
 - Ensures Technology Change is “linked” to Process Change
 - Consolidates Metrics & Reporting for Execution Mgmt
 - Encourages “lateral communications” to ensure SBUs and departments are aligned with the corporate strategy
 - Eliminates the silos of thought & execution
 - Drives compliance into the execution framework
 - Compliance is not an “afterthought”. It’s a requirement.

So, what's the big picture ?



A BPM COE provides many services

❑ Some of the Key Activities include:

- Training (Online courses, Seminars, Website)
- Define company's BP Maturity (progress)
- Maintain Business Model
- Maintain all core Process Models
- Provide Process Analysis Techniques
 - Six sigma, Function Pt Analysis, ...
- Define Standards (BPEL, XPDL)
- Map Projects to BP Modifications
- Align BPM metrics & KPIs with corporate strategy
- Maintain Organizational Context

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WHY DO WE NEED IT ?

AND

WHAT WILL IT DO FOR US ?

Some of the challenges we face...

☐ **Current infrastructure**

- Scalability of current network
- Legacy system integration
- Needs to leverage existing IT Assets

☐ **Multiple overlapping products & features**

- Conflicting terminology
- Marketplace confusion

☐ **Relating real requirements to potential solutions**

- You can do anything with this product
- Similar offerings

☐ **Standards conformance**

- But do you really understand the implications of standards?
- Becoming more fluid...getting tougher to keep up

☐ **IT change and business change are co-dependent**

- Requires close coordination
- Support for Process Lifecycle

Additional challenges we face...

- ☐ Change takes too long to implement
- ☐ Lack of Integration
- ☐ Inability to execute consistently
- ☐ Not customer focused
- ☐ Communications (yes...to all questions)
- ☐ Distribution of Decision Making (empowerment ?)
- ☐ Inability to get timely information
- ☐ Inability to make timely decisions
- ☐ Collaboration is a word not a core competency

Because the pace of business change is going to increase and we need to be ready to embrace it.

Some of the benefits we can achieve...

- ❑ **Address the above-mentioned challenges...PLUS**
- ❑ **Automating non-value adding activities**
 - Repetitive steps in back office
 - Abstracting business staff from technology to focus on the business
- ❑ **Enhancing Customer Service**
 - Increase face time of sale staff with customers
 - Focus on higher value activities
 - Service excellence becomes a core competency (at all levels)
- ❑ **Improved integration**
 - Across multiple channels
 - Across people, processes and technology
 - Across data & documents
- ❑ **Improved collaboration**
 - Between people, people & technology and w/in technology services
- ❑ **Focus on reuse**
 - Processes, Resources, Technology Assets

A COE moves us beyond just BPM

- ❑ A center of excellence provides the business with the governance and control to oversee the complete business performance management lifecycle:**
 - Planning and budgeting
 - Consolidation
 - Reporting and analysis
 - Score carding and performance management
 - Knowledge and process management
 - Process Automation (technology)
- ❑ To provide a single, comprehensive picture of the company's performance.**

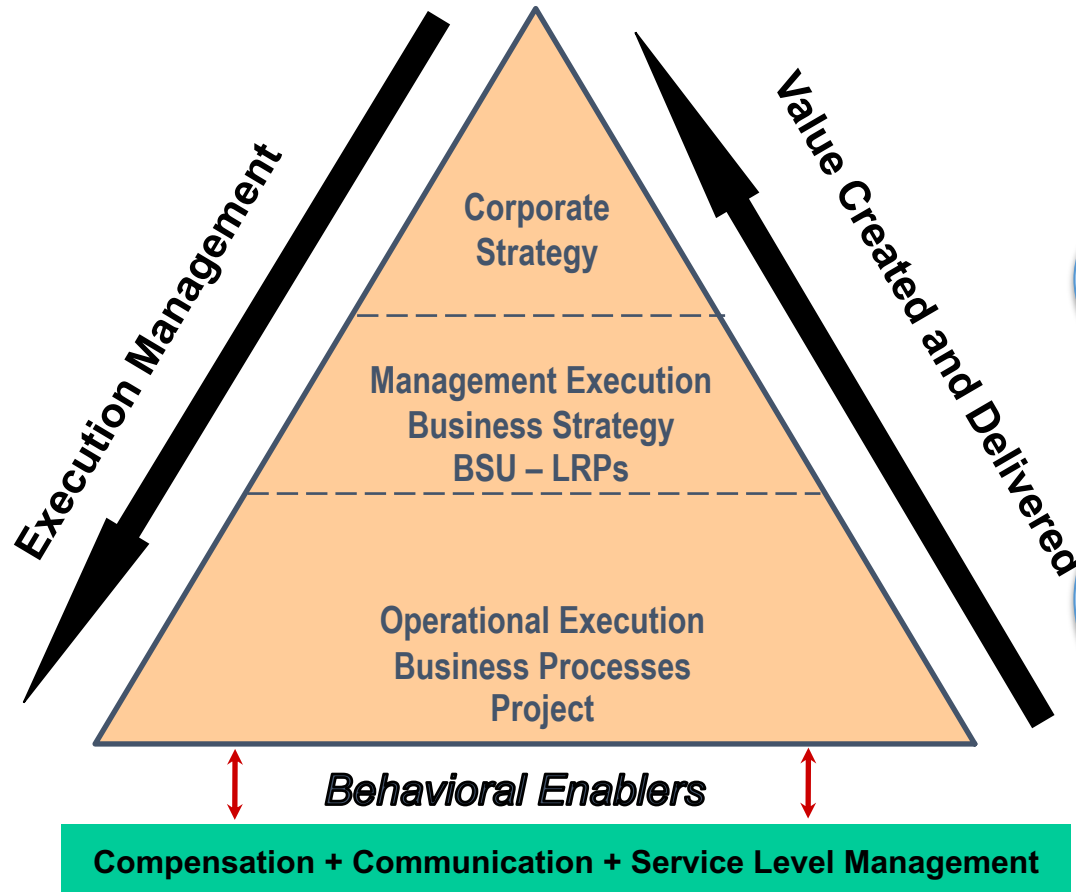
BPM Center of Excellence

WHAT CAN WE ACHIEVE ?

Goal: Driving Strategic Alignment

Strategic Objectives:

- Return on Capital Employed (ROCE)
- Net Income
- Total Shareholder Return



Executives will:
Set strategy
Allocate resources
Portfolio analysis
Establish Performance Targets

Management uses BPM metrics to track progress and ensure staff execution is linked to strategy at all levels.

Alignment Requires:
A Performance-Driven Culture
Mgmt & Staff Focused on Priorities
Clarify & Link Strategic goals to Tactical Plans
Create & Deliver Value

Goal: Achieving Real Cultural Change

❑ A BPM COE needs to be properly funded, staffed and authorized to:

- Drive behavior and action from task oriented to service oriented.
- Link service delivery at all levels back to customer satisfaction.
- Eliminate performance bottlenecks in service delivery
 - Regardless of the reasons...
- Optimize the efficient use of resources
 - Human and Technology
- Drive agility, flexibility and adaptability
 - The ability to change quickly will become a core competency

Goal: Executing with Success

- ❑ **Information delivered to *right* decision makers**
 - With Speed
 - With Accuracy
 - In the *right* format (scorecard, KPIs, Reports, Alerts)
 - In the *right* amount (just enough NOT just in case)
- ❑ **Consistent communication to achieve alignment for:**
 - Strategies, Plans, Assumptions/Constraints, and Objectives
- ❑ **Key value driving measures are tied directly to internal agreements (SLAs) up and down the organization**
 - Compensation & advancement are linked to SLAs
- ❑ **Collaborative and inclusive planning process**
 - Clear understanding of how performance & metrics impact the “bigger picture”

Goal: Achieving Alignment with IT

BPM COE	IT
Evaluate Methodologies	Provide Automation of Methodologies
Build Semantic Models	Enable Semantic Mapping
Understand Business “big picture”	Align technology investments with LRP
Align Business Change to LRP	Align technology & business roadmaps
Link Business & IT Change	Ensure IT Services Compliment BPM
Develop Business Models	Build Centralized Modeling Framework
Develop Process Models	Integrate Models with IT Services
Define Business Requirements	Formalize Requirements Engineering
Outline Global vs. Local Needs	Make Globalization Adaptable
Ensure Adherence to Compliance	Centralize Compliance Mgmt (BRE)
Train & Develop Core Skills in BPM	IT Staff to become Service Oriented
Rationalize Metrics	Align IT Services with Business Metrics

Goal: Achieving Alignment with Business

- ☐ Gain executive sponsorship
- ☐ Ensure Business Commitment
- ☐ Create multi-year roadmap
- ☐ Identify Opportunities for Process Optimization
- ☐ Identify Opportunities for Innovation
- ☐ Develop Change Management Framework
- ☐ Develop Governance Framework for Change
- ☐ Align Business Metrics with Business Strategy
- ☐ Ensure Short-Term solutions align with LRP
- ☐ Provide Lateral Communications (break-down those silos!)

Goal: Enabling Agility

☐ **Complex Content Development**

- Involves managing the lifecycle of critical documents where the routing, participants and results are not predictable a priori, independent security model

☐ **Ad Hoc Collaboration**

- Threaded discussion groups, shared white boards, content management capabilities, independent security model

☐ **Project Collaboration**

- One off projects, collaborate toward a common goal, ad hoc processes; repeatable elements
- reuse, yet requiring subtle adaptation; independent security model also required

☐ **Customer Contact Center**

- Unpredictable customer interactions drive the process; 80% of calls are WISMO

☐ **Case Handling**

- General blend of the two ends of the process spectrum; incorporates many aspects of the categories above

Goal: Consistent Models & Semantics

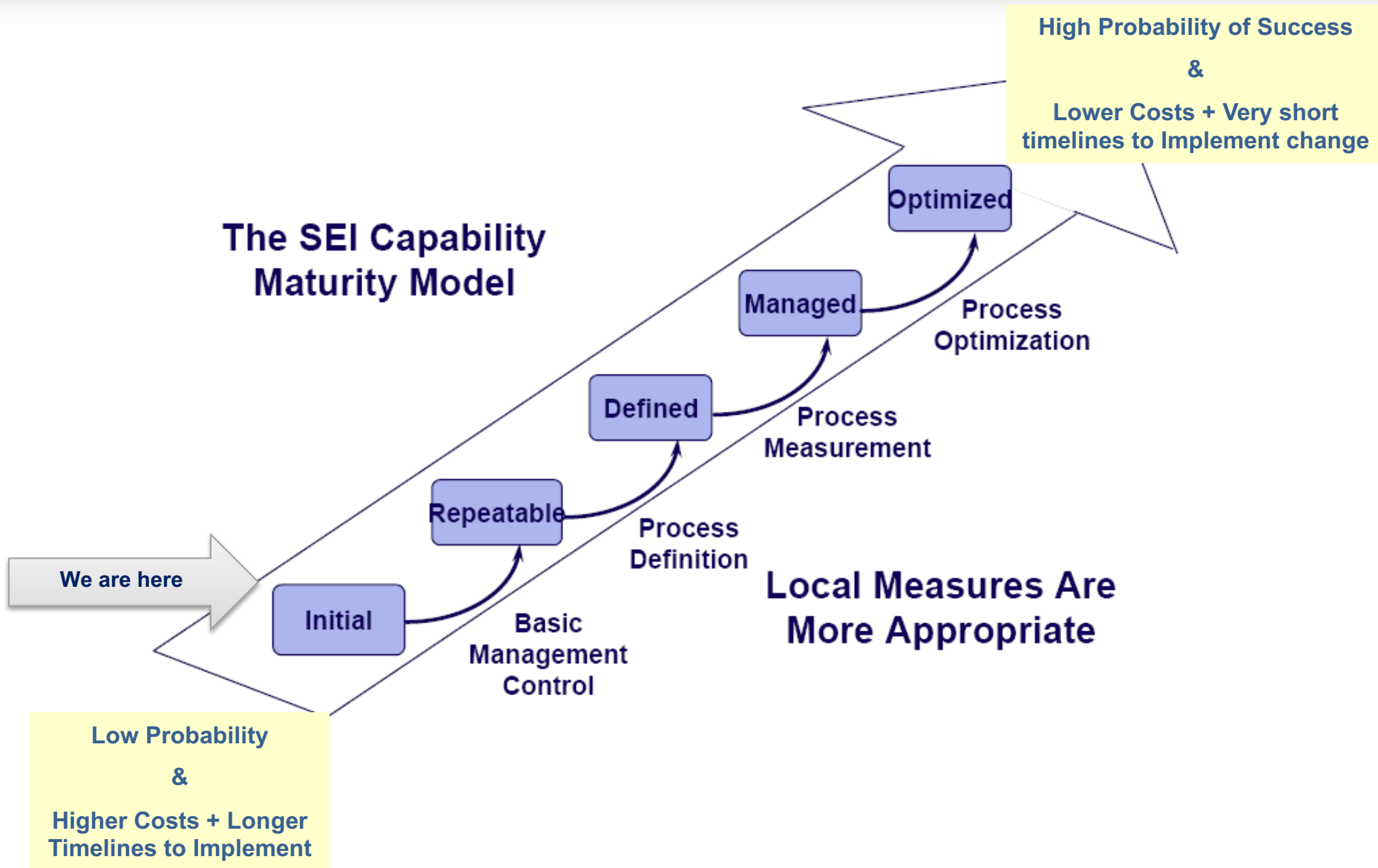
- ❑ **Shared vocabulary for process modeling concepts**
 - “universal syntax” of process
 - Translation to-from other notations & execution
- ❑ **BPMN Serialization**
 - Supporting the future development of BP-Notation
- ❑ **Orchestration & Choreography**
 - Process & Interaction - Common Behavior Model
 - Abstractions – Course Model, Composition Model
 - Composition and Decomposition or Interaction & Process
- ❑ **Facilitating a separation of concerns**
 - Interaction Patterns without committing to Implementation
 - “What” versus “How” - Roles, Responsibilities & SLAs
 - Business level encapsulation (service orientation)
- ❑ **Facilitates evolving, permeable organizational boundary**

BPM Center of Excellence

HOW DO WE GET THERE ?

BPM Maturity Model

The SEI Capability Maturity Model



Well, we' ve got a long way to go...

- ☐ We will start out with the basics so we can establish (for the first time) a single business vision & voice.
- ☐ Next, we will establish the right level of support and funding for a BPM COE.
- ☐ We will staff the COE and establish a corporate charter to ensure it receives the necessary support (initially and into the future).
- ☐ We will slowly build the big picture (hub & spoke model) as we formalize processes and begin capturing metrics.

Well, we' ve got a long way to go...

- ❑ We will gradually reel in and begin to govern change using a federated model.
- ❑ We will engage IT to assist with capturing metrics and providing reports so the COE can establish visibility for overall performance on managing change.
- ❑ And we will need help along the way to ensure we stay on track and establish a solid footing.
 - Support from our strategic vendors
 - Support from senior management
 - Support from our staff

A few metrics to consider...

- ☐ Business Risk
- ☐ Customer satisfaction
- ☐ Execution Performance
- ☐ Compliance & Quality
- ☐ Measuring Innovation
- ☐ Measuring Right Sourcing
- ☐ Optimized Integration
- ☐ Velocity of Change (Agility, Adaptability, Flexibility)
- ☐ Resource Utilization (people & technology)

There are a lot of standards to consider

These industry standards need to be a common part of our business architecture going forward. They not only align us with our vendors, but they also align us with the upstream & downstream members of our value chain. Alignment equates to reduced costs for integration (on a business & technical level).

- ☐ BMM – BA-Motivation
- ☐ SBVR Part I – BAVocabulary
- ☐ SBVR Part II – BAGovernance
- ☐ BPMM – BP-Maturity Model
- ☐ BPMN – BP-Notation
- ☐ BPDM – BP Semantics
- ☐ BPRI – BP-Performance
- ☐ OSM – BA-OrgStructure
- ☐ PRR – BA-Rules

WfMC
Wf-XML 2.0 (ASAP)
XPDL
OASiS
BPEL (SPEL)
ebXMLBPSS, CPA,
CPP
W3C
WS-CDL

Some new roles...

- ☐ Business Process Owners
- ☐ Business Architects
- ☐ Process Architects
- ☐ Process Designers
- ☐ Business Analysts
- ☐ Requirements Engineers

Some new skills...

❑ **BPM requires individuals that have skills in BOTH the business and technical domains.**

- Business skills
 - Business Architects and Analysts
 - Object Oriented Modeling, RUP
 - Business Process Modeling, BPML
- Technical skills
 - Technical Architects and Analysts
 - J2EE or MS .Net/BizTalk
 - WebServices, XML, BPML, etc.
 - Working with leading edge BPM Technology

A new approach...

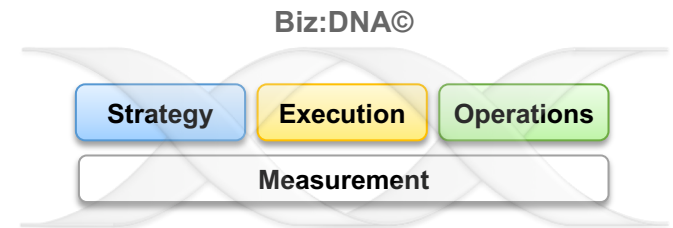
- ❑ **We need to rethink our approach for business process automation. Our ultimate goal in engaging human resources should be from a minimalist's viewpoint.**
- If we agree that Human Resources are:
 - our most valuable asset
 - are the only source for innovation
- Then we should only engage Human Resources when automation is not a viable option (practicality, costs, time).

Remember: One of the Strategic Goals is ROCE

Key Ratio ➔ Revenue/Employee

Thank You

Measure what matters
Create and deliver the right value
Build and nurture a winning culture
Proactively manage change & complexity



Phone: (847) 261-4332
Online: www.enablingvalue.com